PAYPAL HACKATHON 2026 · TEAM ESCROW ESPORTS

Realistic figures, not the $250 sample.

Published counts of the freelance market, then the same PayPal rules in the product run on a $4,800 module.

THE MARKET

Two counts. They measure different things.

11.9 million

BLS, July 2023. Independent contractors whose contracting was their sole or main job. 7.4% of employment.

64 million

Upwork / Edelman, 2023. Americans who did any freelance work that year. 38% of the workforce in that survey. About $1.27 trillion in earnings. Not a GDP line.

Edelman surveyed 3,000 working adults, 24 Oct–9 Nov 2023. Margin of error ±1.7%.

SKILLED WORK, 2024

Knowledge freelancers, counted on their own.

28%
of U.S. skilled knowledge workers freelanced. More than 20 million people.

$1.5T
their earnings in 2024. Upwork Future Workforce Index.

$85,000
median for people who earn only from freelance work. Full-time employees in the same study: $80,000.

Survey of 3,000 U.S. knowledge workers, Dec 2024–Feb 2025. Margin of error ±1.8%. Press release 23 Apr 2025.

THE FAILURE

Late pay is the ordinary case.

85%
of freelancers are paid late at least some of the time.

21%
are paid late, or not at all, more than half the time.

Remote, Contractor Management Report 2025, as published on Remote's blog. Aegis-Split's answer is a PayPal capture before the merge, not a reminder email.

SAME MODULE, THREE RAILS

What the freelancer keeps on $4,800.

$4,800
Aegis-Split. Platform fee 0%. The full milestone is the payout.

$4,080–$4,800
Upwork freelancer fee, 0–15% on a new contract, locked when it starts. A 10% contract nets $4,320. Pre-May 2025 contracts stay at 10%.

$3,840
Fiverr. The seller receives 80% of a completed order.

$4,800 is one module, not a surveyed average. The live judge demo is $250 so the click-through stays small.
The fee rules are the published ones.

THE HOLD

$4,800 in. $480 beside it.

$4,800.00
Client vault. 480,000 cents. PayPal Orders capture. This is the money the audit can release.

$480.00
Freelancer deposit. Default is floor of 10% of the milestone. A second PayPal order. Held until pay, exit, or a counselor decision.

Integer cents. Percentages use floor, so a split never invents a cent. 480,000 × 10 / 100 is exact.

IF THE MERGE PASSES

The freelancer is paid in full.

Payout	**$4,800.00** through PayPal Payouts. Platform fee $0.00.
Deposit	**$480.00 returned** to the freelancer.
Trigger	A merged pull request, checked against criteria locked at create. GPT-4o mini when a key is set. Otherwise a keyword check. The public demo uses the keyword check.

IF SOMEONE LEAVES

The contract already prices the exit.

Both agree	Vault **$4,800** back to the client. Deposit **$480** back to the freelancer.
Client cancels	Default 50% penalty. **$2,400** to the freelancer, **$2,400** refunded, deposit returned.
Freelancer walks	Vault **$4,800** back to the client. Deposit **$480** forfeited to the client.

IF THEY DISAGREE

A counselor moves the same cents.

$4,800
Release. Remaining vault to the freelancer.

$4,800
Refund. Remaining vault back to the client.

$2,400
Split, default 50%. Freelancer $2,400. Client refund $2,400. Floor keeps the extra cent with the client.

Deposit returns to the freelancer unless “Freelancer at fault” is checked, which forfeits the $480 to the client.
Payout and exit wait until the decision.

IN THE PRODUCT TODAY

What the demo actually runs.

Running

PayPal vault, payout, and refund. 0% fee. Deposit, exit, and dispute math. On-platform chat. KYC sandbox plus signed consent. The auditor is GPT-4o mini when a key is set, otherwise a keyword check. The public demo uses the keyword check.

Not in this build

A real login. The demo sends X-User-Id. Live Agora calls, transcription, and stored recordings. The counselor card is a sample preview. Off-platform chat detection is not built.

The pitch film says GPT-4o and integrated Agora. This deck stays with the code.

SOURCES

Where the figures come from.

BLS, Contingent and Alternative Employment Arrangements, July 2023. 11.9 million independent contractors, 7.4% of employment.

Upwork, Freelance Forward 2023, Edelman Data & Intelligence. 64 million freelancers, $1.27 trillion earnings.

Upwork, Future Workforce Index, 23 Apr 2025. 28%, $1.5 trillion, $85,000 median.

Remote, Contractor Management Report 2025, via Remote's late-payment article. 85% and 21%.

Upwork Help, Freelancer Service Fee. 0–15% per new contract. Fiverr Help: sellers receive 80% of a completed order.

Aegis-Split money rules: integer cents, floor percents, 0% platform fee, 10% deposit, 50% client-cancel penalty. The $4,800 case is this code, not a new formula.